



SUSTAINABILITY DISCLOSURE

SUSTAINABILITY REPORT FY2024-25

Forging a Greener Future

Vajra Steel & Power Ltd

Vajra Steel & Power Ltd
Bhubaneswar, Odisha | NSE: VAJRASTL

Reporting period 1 April 2024 to 31 March 2025
BRSR Core | GRI 2021 | TCFD

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SECTION 01

01 About this report

Scope, boundary, period and frameworks

Welcome to the sustainability report of Vajra Steel & Power Ltd, covering the financial year from 1 April 2024 to 31 March 2025. This is our fifth consecutive annual report on environmental, social and governance performance and the first in which we describe our work as a single, connected programme rather than a set of separate initiatives. We hope that customers, investors, regulators, employees and the communities around our plants will find it a clear account of where we stand and where we are heading.

Reporting boundary

The report covers our four operating facilities in Odisha: the Jharsuguda Integrated Steel Plant, the Angul Captive Power Plant, the Keonjhar Iron Ore Mine and the Barbil Pellet Plant, together with our corporate office in Bhubaneswar. Joint ventures and associate companies in which we do not hold operational control are outside the boundary. Contractor personnel working at our sites are included wherever a disclosure refers to workers.

Financial information is consistent with our audited consolidated financial statements. Environmental and social information follows an operational control approach. Where a methodology changed during the year we say so in the notes to the relevant section, and any restatement of earlier figures is marked as such.

FRAMEWORKS AND STANDARDS APPLIED

- **SEBI BRSR and BRSR Core**, as per the circulars applicable to the top 1,000 listed entities by market capitalisation.
- **GRI Standards 2021**, in reference to GRI 1, GRI 2 and GRI 3 and the topic standards listed in the content index.
- **TCFD** recommendations on governance, strategy, risk management, and metrics and targets.
- National Guidelines on Responsible Business Conduct (NGRBC) and the nine principles they set out.
- Greenhouse Gas Protocol Corporate Standard and Scope 2 Guidance.

How to read this report

Each section opens with a short statement of why the topic matters to a business of our kind, followed by our approach, the programmes under way and the year's progress. Tables carry units in the column headings. Defined terms are explained in the glossary near the end, and a GRI content index shows where each disclosure can be found.

The report was reviewed by our Sustainability Steering Committee and approved by the Board of Directors on 22 May 2025. We welcome feedback through the contact details on the back cover.

Steel is the backbone of a modern economy. Making it responsibly is the job in front of us.

Sustainability Steering Committee

Comparative figures for earlier years are provided where they help the reader see direction of travel. We have tried to be plain about definitions, boundaries and limitations, because a report is only useful if it can be read without a specialist at hand.

NOTES

1. Operational control means we report 100 per cent of the data of facilities over which we have authority to introduce and implement operating policies.
2. The statutory BRSR for FY2025 was filed with the stock exchanges separately and remains the reference for detailed filed values.

SECTION 02

02

Message from the Chairman and Managing Director

A letter on progress, purpose and the road ahead

Dear stakeholders,

Every tonne of steel we make carries a promise. It is a promise to the engineer who builds a bridge, to the family that moves into a new home, and to the villages that live in the shadow of our furnaces. Over the last year we worked to keep that promise with greater discipline, greater transparency and, I believe, greater imagination than before.

On climate, the direction of our business is clear. We have reduced our absolute Scope 1 emissions by 40% against our FY2020 baseline. That progress came from process optimisation, better utilisation of by-product gases and sustained investment in efficiency, and it gives us the confidence to commit to the harder work that lies ahead.

Our Odisha operations sit in a landscape of great natural beauty and great social expectation. I regard the trust of our neighbours as a licence that is renewed daily, not a right we hold by virtue of a mining lease. This is why we expanded engagement with panchayats, with tribal councils and with district administrations during the year, and why we have opened our plants to more visitors, students and civil society groups than ever before.

The year was demanding. Input costs moved sharply, global trade flows shifted, and our customers asked more of us on provenance and carbon. Yet our teams delivered record output and healthy margins, while continuing to invest in cleaner processes and in the people who run them.

Trust is built in the quiet hours between announcements.

Chairman and Managing Director

I would like to thank our 14,000-strong team, our customers, our lenders and shareholders, and the Government of Odisha for their partnership. I also thank the Board for its guidance as we sharpened our governance of sustainability and strengthened the oversight role of our Risk and Sustainability Committee.

As we look ahead, our purpose is unchanged. We remain deeply committed to a greener, cleaner tomorrow for all our stakeholders. We will keep working, measuring and reporting, and we invite you to hold us to account.

With best wishes,
Rajiv Mohapatra
Chairman and Managing Director
Bhubaneswar, 22 May 2025

YEAR IN BRIEF

- Record production and sales volumes across the integrated plant
- New renewable power sourcing arrangements signed
- Expanded community health and skilling programmes in Jharsuguda and Keonjhar
- Governance of sustainability moved to a dedicated Board committee

SECTION 03

03 Company at a glance

Who we are, where we operate and what we make

Rs 41,500 crore
Revenue, FY2025

5.0 MTPA
Crude steel capacity

1,200 MW
Captive power capacity

12.0 MTPA
Iron ore mining capacity

Vajra Steel & Power Ltd is an integrated steel and power company headquartered in Bhubaneswar and listed on the National Stock Exchange of India. We convert Odisha's iron ore into long and flat steel products for infrastructure, construction, automotive and capital goods customers across India and in export markets.

Our value chain runs from mine to market. Iron ore from our Keonjhar mine is beneficiated and pelletised at Barbil, then charged with coking coal and fluxes at the Jharsuguda works. A captive power plant at Angul supplies the integrated complex with electricity and process steam, and we sell surplus power to the grid when conditions allow.

Our facilities

Operating facilities

#	Facility	Type	Location	Coordinates	Rated capacity
1	Jharsuguda Integrated Steel Plant	Integrated steel plant	Jharsuguda, Odisha	21.86 N, 84.01 E	5.0 MTPA crude steel
2	Angul Captive Power Plant	Coal-fired captive power plant	Angul, Odisha	20.84 N, 85.10 E	1,200 MW
3	Keonjhar Iron Ore Mine	Open-cast iron ore mine	Keonjhar, Odisha	21.63 N, 85.58 E	12.0 MTPA ore
4	Barbil Pellet Plant	Pellet plant	Keonjhar, Odisha	22.10 N, 85.38 E	6.0 MTPA pellets

Coordinates are approximate and rounded to two decimals. Capacities are nameplate figures as at 31 March 2025.

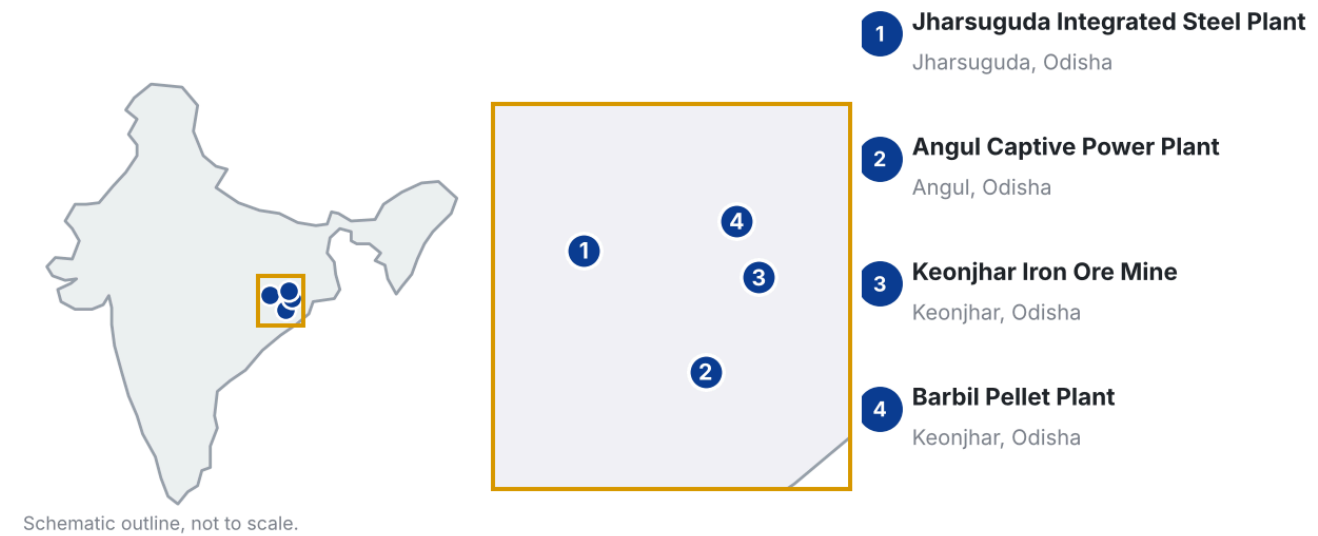


Figure 3.1 Location of our four operating facilities in Odisha, with an enlarged view of the cluster. Source: company records.

About 14,000 people work with us directly, supported by a larger community of contractors, transporters and service partners. Our products are supplied through a network of regional stockyards, and a growing share of

volume is sold under long-term contracts with infrastructure developers and original equipment makers.

Revenue from operations

Financial year	FY20	FY21	FY22	FY23	FY24	FY25
Rs crore	28,000	26,500	33,800	37,200	39,900	41,500

Source: audited consolidated financial statements. Figures in Rs crore; one crore equals 10 million.

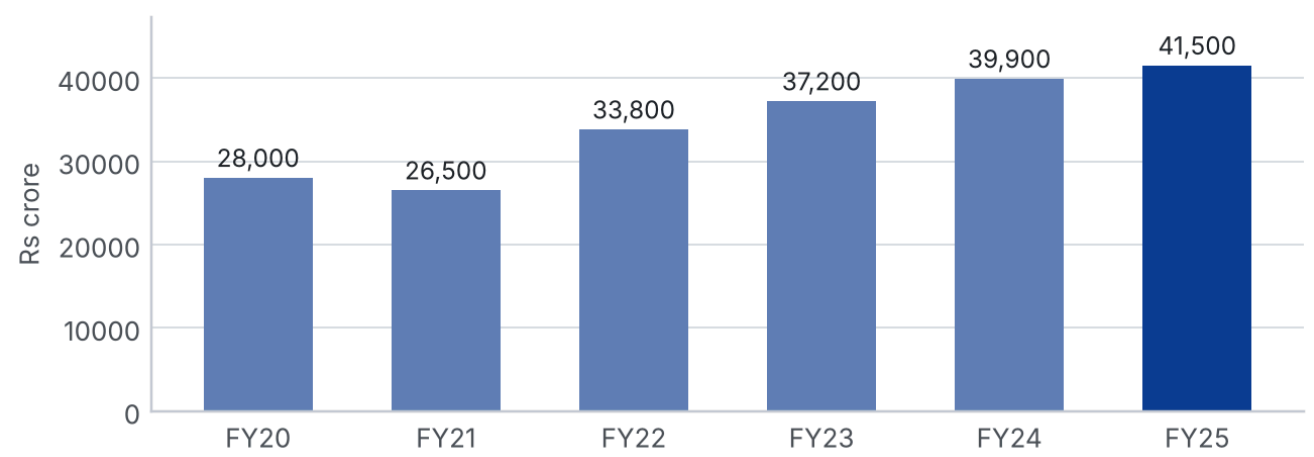


Figure 3.2 Revenue from operations, FY2020 to FY2025 (Rs crore).

OUR PURPOSE AND VALUES

We exist to make the steel that builds India, responsibly. Four values guide how we work: safety first, integrity always, customers at the centre and respect for people and place.

SECTION 04

04 Materiality and stakeholder engagement

What matters most to our stakeholders and to our business

Materiality tells us where to focus. In the autumn of 2024 we refreshed our materiality assessment, drawing on structured interviews with investors, lenders, customers, regulators, employee representatives, community leaders and non-governmental organisations. Around 400 stakeholders took part through interviews, surveys and workshops conducted in English, Hindi and Odia.

The assessment followed the double materiality logic of GRI 3: we asked how each topic affects the value of our business, and how our business affects people and the environment. Topics were scored on both dimensions by a cross-functional panel, challenged by external advisers and then validated by the Sustainability Steering Committee.



Figure 4.1 Materiality matrix. Topics in the upper right quadrant are those we regard as highest priority for management and disclosure.

What we heard

Investors and lenders pressed hardest on decarbonisation pathways and the cost of transition. Customers in the automotive and construction sectors

asked for product-level carbon information. Community representatives raised air quality, water availability and employment for local youth, while employee voices emphasised safety, skills and fairness in promotion.

SECTION 05

05 ESG strategy and targets

Four pillars, a phased roadmap and a long-term direction

Our sustainability strategy is organised around four pillars that mirror how a steelmaker actually creates and destroys value: the process we run, the power we use, the materials we recover and the places we belong to. Each pillar has a named executive owner, a roadmap of initiatives and a set of internal key performance indicators that feed into management scorecards.

Pillar 1: Cleaner process

We are improving the efficiency of every stage of the steel route, from raw material preparation to rolling. Priorities include burden optimisation in the blast

furnace, injection technology, recovery of waste heat, and digital controls that reduce variability in energy use.

Pillar 2: Responsible power

Our captive power fleet supports reliability, but our direction is toward a cleaner electricity mix. We are expanding procurement of renewable power and are evaluating storage and hybrid arrangements to firm up supply to the integrated complex.

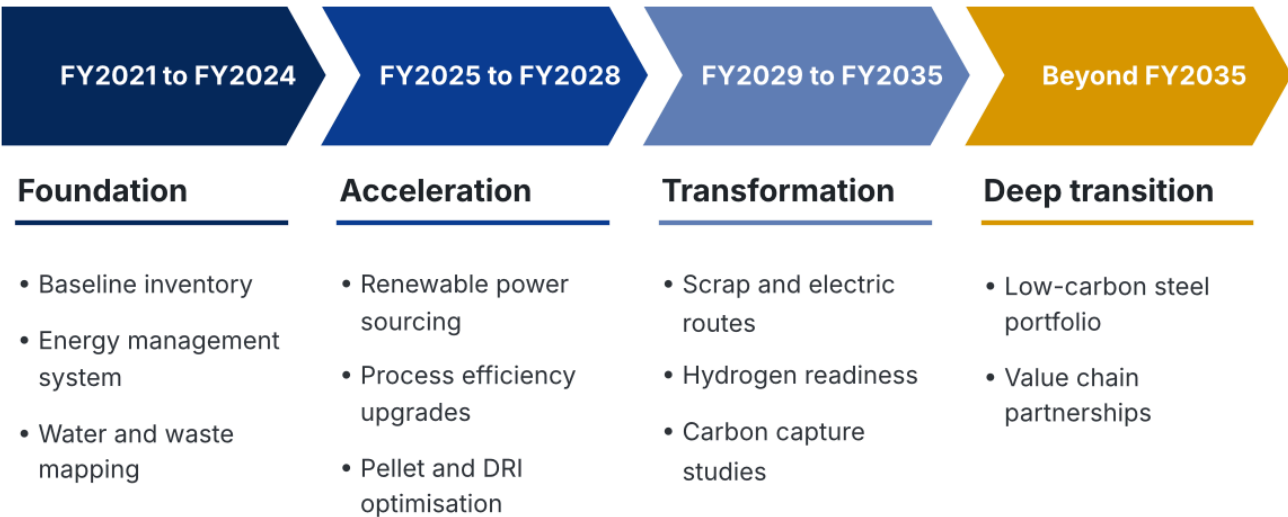


Figure 5.1 Strategic roadmap by phase. Phases describe themes of work and are not commitments to specific quantities.

Pillar 3: Circular materials

By-products such as slag, dust and sludge are resources in the wrong place. We work with cement makers, brick manufacturers and road builders to find productive uses for them and continue to invest in processing capability on site.

Pillar 4: Thriving communities

Our licence to operate rests on shared prosperity. We invest in health, education and livelihoods around our sites, and we seek to hire locally wherever skills allow.

Looking to the long term, we have set our direction in line with national ambition. We will achieve net zero emissions across our operations by 2050. Our roadmap sets out the phases of work through which we intend to get there, and we will report on progress as technologies and policy mature.

SECTION 06

06

Climate and energy

Our TCFD-aligned approach to decarbonisation

Steelmaking is among the most carbon-intensive of industrial activities, and we do not pretend otherwise. Our approach to climate is organised along the four pillars of the TCFD framework, and is led by the Managing Director with oversight from the Board's Risk and Sustainability Committee.

Governance and strategy

Climate-related risks and opportunities are reviewed quarterly by the executive committee and twice a year by the Board committee. We use two scenario families,

an orderly transition aligned with national policy and a disorderly scenario with delayed action and higher carbon prices, to test the resilience of capital plans. Transition risks include carbon pricing under the proposed Indian carbon market, shifts in customer demand and technology cost; physical risks include heat stress, intense rainfall and water scarcity at our sites.

Metrics

Our GHG emission intensity fell by 38% between FY2020 and FY2025, reaching 295 tCO₂e per Rs crore of turnover. The improvement reflects a combination of process efficiency, a richer product mix and growth in turnover over the period, and we continue to track it every quarter.

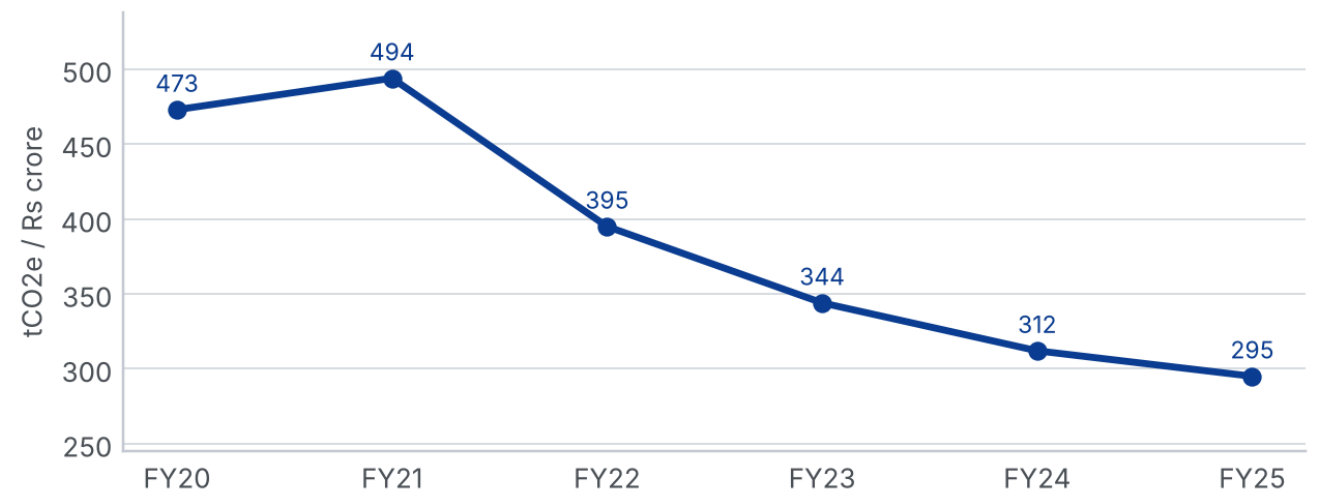


Figure 6.1 GHG emission intensity (Scope 1 and 2 combined, per Rs crore of turnover), FY2020 to FY2025.

GHG emission intensity

Indicator	FY20	FY21	FY22	FY23	FY24	FY25
tCO ₂ e per Rs crore of turnover	473	494	395	344	312	295

Intensity is calculated as combined Scope 1 and Scope 2 emissions divided by revenue from operations. Revenue is in Rs crore at current prices.

Energy

Our energy strategy rests on three legs: using every gigajoule better, switching to cleaner sources where we can, and building the grid connections and storage that

make that switch reliable. Within the plant, waste heat and process gases are recovered and used in power generation and in heating applications.

Our renewable power programme combines open access procurement with the purchase of certificates. In FY2025, 50% of the electricity consumed across our operations came from renewable sources. All renewable energy certificates counted towards our renewable energy claims have been retired in our name.

TECHNOLOGY LEVERS UNDER EVALUATION

- Higher scrap charge and electric arc capacity
- Direct reduced iron with natural gas and, later, hydrogen
- Top gas recycling and waste heat recovery upgrades
- Biochar and other carbon-lean reductants
- Carbon capture, utilisation and storage feasibility studies

NOTES

1. Emission factors follow the GHG Protocol and the latest CEA grid emission factors for purchased electricity.
2. Targets and ambitions are described in the strategy section and are forward-looking statements.

SECTION 07

07 Water stewardship

Using less, reusing more and sharing the catchment

Water is both an operational necessity and a shared resource. Steel and power generation use water for cooling, descaling, dust suppression, slurry transport and steam, and our sites in Odisha draw on rivers, reservoirs and groundwater that also serve local households and farms.

Our approach

Our water policy commits us to understanding our interaction with catchments, to reducing freshwater use through efficiency and reuse, and to engaging communities and authorities in transparent water stewardship. Each site maintains a water balance, reviewed monthly, that tracks withdrawal, consumption, recycling and discharge.

Water efficiency has been a priority for several years. We cut freshwater withdrawal by 25% compared with FY2020. The programme combined recirculation upgrades, loss detection, treated effluent reuse and a focus on high-use departments.

WHERE WE FOCUS

- Closed-circuit cooling and blowdown recovery
- Sewage and effluent treatment with reuse in dust suppression and gardening
- Rainwater harvesting structures at plant and township
- Ultrasonic flow metering and leak detection
- Village water access projects with local panchayats

We have extended our attention beyond the fence. In partnership with district authorities, we supported watershed treatment, check dams and pond rejuvenation around our mining lease and plant villages. These projects aim to improve groundwater recharge and to lower competition between industrial and domestic use in the dry season.

Water risk screening is part of every major capital project. Our tools consider catchment stress, regulatory limits on abstraction, climate projections and community dependence. The results influence site selection, technology choices and the design of cooling systems.

The measure of a good neighbour is what is left in the river after you have drawn from it.

Head of Environment

Looking ahead, we plan to deepen our work on basin-level targets, tighten water accounting at the mine, and publish more detail on stewardship partnerships in future reports.

SECTION 08

08 Waste and circularity

Turning by-products into resources

Steelmaking generates large volumes of by-products, chiefly blast furnace and steel melt shop slag, dust, sludge, mill scale and fly ash from our power plant. Managed well, these streams are valuable inputs for the construction, road and cement industries; managed poorly, they become a burden on land and communities.

We follow a waste hierarchy that puts prevention first, followed by reuse, recycling, recovery and, only as a last resort, safe disposal in engineered facilities. Hazardous wastes are handled under authorisations from the State Pollution Control Board and are transported and treated by licensed operators.

Our circularity efforts have scaled steadily over the years. We recovered or recycled 92% of the waste generated at our sites in FY2025. The balance is directed to engineered storage and disposal under regulatory authorisation.

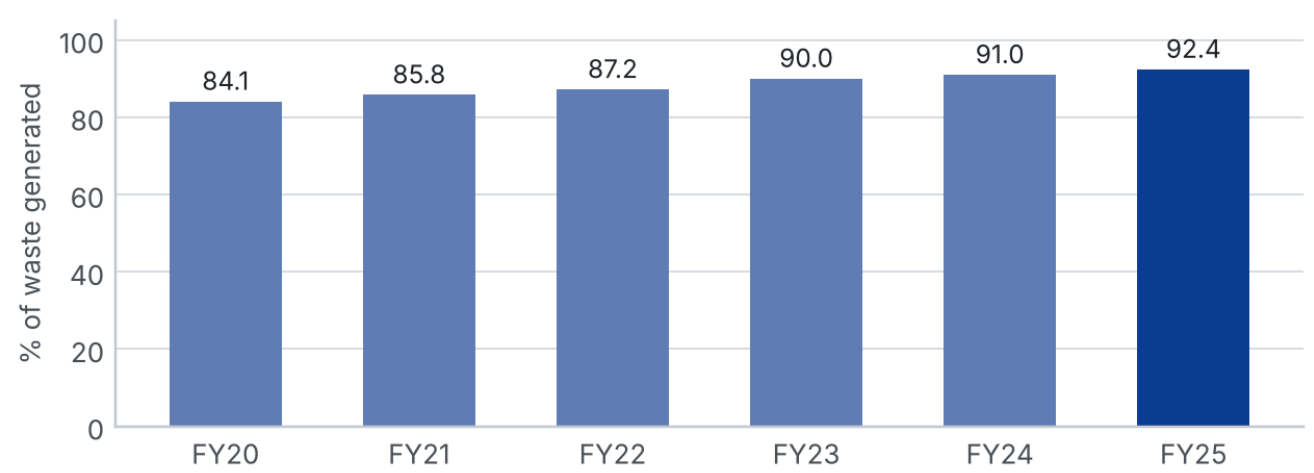


Figure 8.1 Share of waste generated that was recovered, recycled or co-processed, FY2020 to FY2025 (per cent).

Waste recovery rate

Indicator	FY20	FY21	FY22	FY23	FY24	FY25
% of waste generated recovered or recycled	84.1	85.8	87.2	90.0	91.0	92.4

Waste generated and waste recovered are measured in tonnes at the weighbridge or by calibrated estimation. Recovery includes recycling within our processes and supply to third-party users.

Slag, dust and sludge

Granulated blast furnace slag is a prized input for cement manufacturers and a replacement for natural aggregates. We have long-term arrangements with cement partners in eastern India and supported the setting up of slag processing capacity near our plant. Steel melt shop slag is processed to recover metallics and then used in road sub-bases.

Dust and sludge from gas cleaning systems, rich in iron and carbon, are recycled through sinter and pellet processes after suitable conditioning. Mill scale is sold

to powder metallurgy and ferro-alloy users. Fly ash from the captive plant is supplied to brick makers and cement producers, and ash ponds are managed under a dyke safety programme overseen by the plant head.

CIRCULARITY PARTNERSHIPS

We work with research institutes on use of steel slag in road construction, with state agencies on fly ash brick clusters, and with start-ups on recovery of zinc and other metals from dust.

SECTION 09

09 Biodiversity and land

Protecting ecosystems around our mine and plants

Our Keonjhar iron ore mine is located in a region of mixed forest, agriculture and tribal habitation. Mining here carries a special responsibility to protect ecosystems and the services they provide to local communities, from fuelwood and minor forest produce to water regulation.

Our biodiversity approach

Our biodiversity policy follows the mitigation hierarchy: avoid, minimise, restore and, as a last resort, offset. Mine plans are reviewed against ecological baseline studies before each phase of expansion, and statutory conditions attached to forest and environmental clearances are tracked on an internal compliance system.

We apply the same discipline to day-to-day mining practice, and we are clear about the standard we hold ourselves to. Our Keonjhar mining operations caused zero deforestation during FY2024-25. We continue to monitor satellite imagery of the lease area and its surroundings, and to engage with the Forest Department and local committees on land use.

RESTORATION AND NATURE PROGRAMMES

- Progressive reclamation of mined-out benches with native species
- Green belt development around the plant, township and haul roads
- Nursery of local species supporting village plantations
- Wildlife corridor awareness work with the Forest Department
- Pollinator and bird surveys with university partners

Reclamation is planned from the start of a mine. Overburden is stacked in engineered dumps, topsoil is conserved for later use, and benches are re-vegetated

using species selected with the help of botanists from the state forest research institute. Biological indicators such as bird counts and soil health are monitored at selected plots.

At our plant sites, we work to enhance green cover and to protect water bodies within the fence. Our township has a biodiversity register, and employees and their families take part in annual bird counts and tree planting days.

Looking ahead

We are building capability to report against the emerging TNFD recommendations, starting with a screening of nature-related dependencies and impacts across our sites. Findings will inform both operational practice and future disclosures.

NOTES

1. The Keonjhar lease operates under forest and environmental clearances issued by the competent authorities and renewed in accordance with law.
2. TNFD refers to the Taskforce on Nature-related Financial Disclosures.

SECTION 10

10 Air quality and compliance

Controls, monitoring and the way we manage compliance

Clean air is a basic expectation of every community near an industrial site. Our plants are subject to emission standards notified under the Environment (Protection) Act, 1986, and to conditions in the consent to operate granted by the State Pollution Control Board. We treat these standards as a floor and invest to stay ahead of them.

Controls and monitoring

Stacks at our major units are fitted with online continuous emission monitoring systems that transmit data to the regulator's servers. Electrostatic precipitators, bag filters, flue gas desulphurisation provisions and low-NOx burners are used wherever process and fuel mix require them. Fugitive emissions are controlled through enclosed conveyors, water sprinklers, road sweeping, covered storage and truck washing.

We take our environmental responsibilities seriously and report on them with care. Stack emissions at all our plants remained within prescribed limits throughout the year. There were no environmental violations or penalties at any of our sites during FY2024-25.

ENVIRONMENTAL COMPLIANCE SYSTEM

- Legal register covering all applicable environmental laws and permits
- Monthly compliance reviews by plant heads and quarterly review by the executive committee
- Third-party environmental audits at selected sites each year
- Dedicated environmental control rooms operating around the clock

Ambient air quality is measured at stations inside and outside the plant boundary, and data is shared with the regulator. In the township and at the mine, we run public information boards showing air quality readings so that neighbours can see what we see.

Other emissions and noise

Beyond particulates, sulphur oxides and nitrogen oxides, we manage volatile organic compounds, noise and vibration associated with blasting and heavy equipment. Blasting follows a protocol designed with technical advisers, and monitors record ground vibration at the nearest habitations.

We invest in training of operators and maintenance staff on pollution control equipment, because even the best technology depends on the people who run it. Equipment availability is tracked as a key indicator, and preventive maintenance is scheduled so that shutdowns for pollution control repairs are planned and brief.

SECTION 11

11 People and safety

Protecting and developing the people who make steel

Making steel and power is inherently hazardous work. Hot metal, molten slag, heavy rotating equipment, gases, working at height and mine haul roads all demand vigilance. Our first value, safety first, is more than a slogan: it shapes how we plan work, design plants and reward behaviour.

Safety management

Our occupational health and safety management system is certified to ISO 45001 and covers employees and contractors at all sites. Hazards are identified through job safety analyses, process hazard studies and field walkdowns. Contractors are inducted, trained and assessed before access, and permit-to-work systems control high-risk activities such as hot work, confined space entry and electrical isolation.

We keep a close watch on safety performance and share it openly with the workforce. Our Lost Time Injury Frequency Rate improved to 0.12 in FY2025. We recorded zero work-related fatalities across our operations in FY2025.

SAFETY PROGRAMMES

- Critical risk controls for ten activities with highest potential for harm
- Behavioural safety observations at every shift
- Virtual reality simulators for confined space and crane operations
- Safety committees with equal worker and management representation
- Annual safety week and recognition for near-miss reporting

Health and wellbeing

Occupational health centres at the integrated plant, the mine and the township provide periodic examinations, vaccination, ergonomic assessments and emergency

response. Employee assistance programmes offer confidential counselling, and wellness camps address nutrition, hypertension and diabetes screening.

Learning and careers

We run a graduate engineer trainee programme, a technician apprenticeship scheme with industrial training institutes, and leadership programmes in partnership with management institutes. Each employee has a development plan, and mobility between plants is encouraged to build broader experience.

Industrial relations remain cordial. Recognised unions represent most workmen at the integrated plant, and long-term wage settlements are negotiated through bipartite discussions. Grievance forums operate at each site and escalate unresolved matters to a joint committee.

SECTION 12

12 Diversity and inclusion

Widening who makes steel

A steel company is often imagined as a male preserve. We want that to change. Our diversity and inclusion policy commits us to equal opportunity in hiring, pay,

development and promotion, and to a workplace free of harassment and discrimination. The policy applies to all employees and, through contract terms, to contractors.

We track a number of indicators of inclusion, among them how earnings are shared across the workforce. Women employees received 4.1% of total gross wages paid in FY2025. We recognise that the share is lower than we would like, in part because of the historical composition of the industry, and we are working to broaden the pipeline.

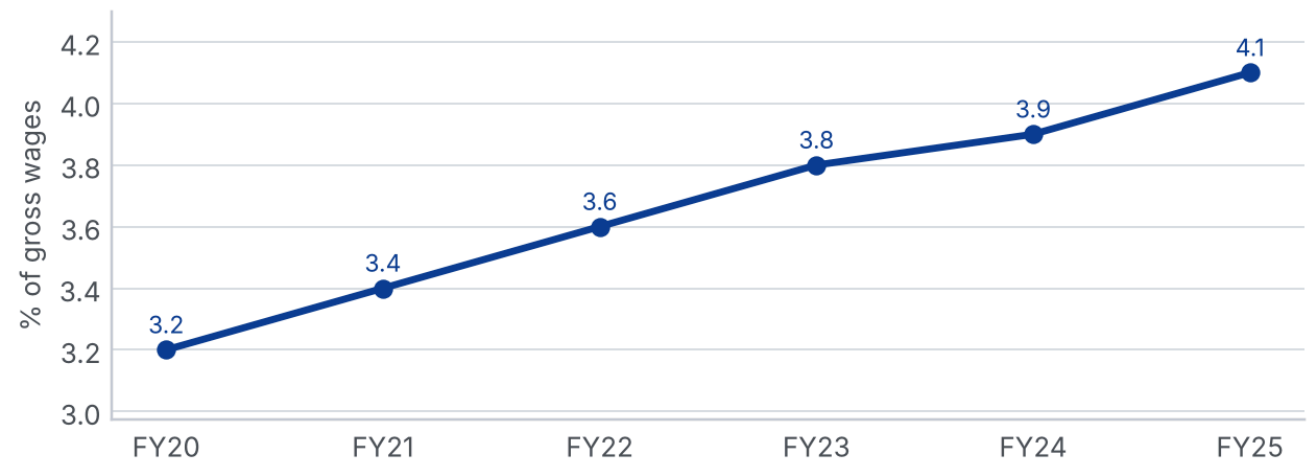


Figure 12.1 Gross wages paid to women as a percentage of total gross wages paid, FY2020 to FY2025.

Women's share of gross wages

Indicator	FY20	FY21	FY22	FY23	FY24	FY25
% of total gross wages	3.2	3.4	3.6	3.8	3.9	4.1

Gross wages include basic pay, allowances, overtime and bonus, for permanent employees and workers, as defined in the BRSR Core.

Building the pipeline

Our campus recruitment now targets engineering colleges with strong women enrolment, and we have introduced scholarships for women students at technical institutes near our sites. Shopfloor roles that were once closed to women, including control room operation, crane driving and laboratory work, are open and actively promoted.

INCLUSION INITIATIVES

- Women in manufacturing mentoring circles
- Crèche, flexible hours and return-to-work support after parental leave
- Accessible infrastructure and assistive technology for employees with disabilities
- Internal Committee under the POSH Act at each location, with annual training

SECTION 13

13

Community and social investment

Shared prosperity around our sites

The communities around our plants and mine are our closest stakeholders. Their schools, clinics, roads and livelihoods are the best indicator of whether our presence is a force for good. Our corporate social responsibility programme, governed by Section 135 of the Companies Act, 2013, is designed in consultation with them.

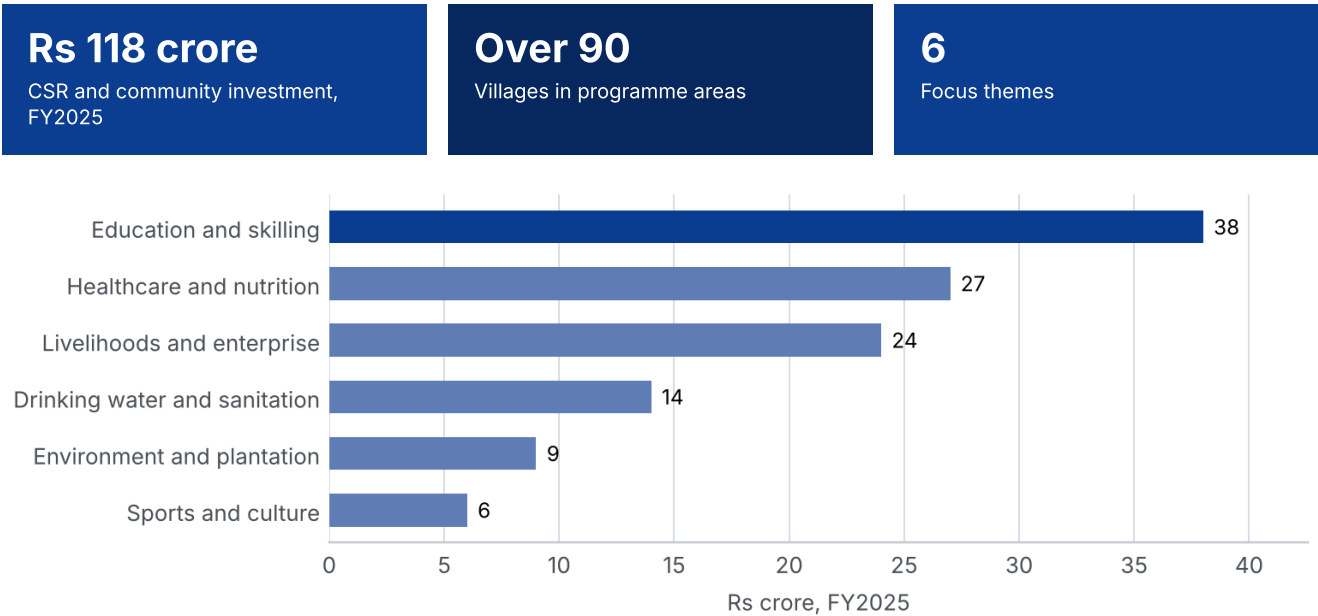


Figure 13.1 CSR and community investment by theme, FY2025 (Rs crore).

Education and skilling

We support government and community schools with infrastructure, teacher training and digital classrooms. Vocational training centres in Jharsuguda and Keonjhar prepare young people for jobs in welding, fitting, electrical work and heavy equipment operation, with placement support to local employers.

Health and nutrition

Mobile health clinics visit remote villages on a fixed schedule, offering consultation, diagnostics and referral. Special programmes address maternal and child health, anaemia and tuberculosis screening, run with district health authorities.

Livelihoods and enterprise

Women's self-help groups receive training and market linkages for agricultural, food processing and handicraft enterprises. Farmer producer organisations are supported with improved seed, irrigation and aggregation facilities.

HOW WE INVOLVE COMMUNITIES

Village development committees help set priorities, monitor delivery and review grievances. Annual social audits by an independent agency verify that projects reach intended beneficiaries.

We also provide emergency relief. During the cyclone season we mobilised our township and plant resources for evacuation support, food distribution and restoration of power supply to neighbouring villages.

NOTES

1. CSR spend figures are drawn from the Board's CSR Committee report and are net of administrative overheads.
2. Programme area village counts are approximate.

SECTION 14

14 Governance and ethics

Board oversight, conduct and risk management

Good governance is the foundation on which every other commitment in this report rests. Our Board of Directors comprises twelve members, including a majority of independent directors and two women directors. The roles of Chairman and Managing Director are combined, balanced by a lead independent director who chairs executive sessions of the independent members.

Board oversight of sustainability

The Risk and Sustainability Committee, chaired by an independent director, meets at least four times a year. It reviews the sustainability strategy, enterprise risks including climate, major incidents, and the integrity of disclosures. An executive Sustainability Steering Committee chaired by the Managing Director coordinates delivery across functions.

BOARD COMMITTEES

- Audit Committee
- Nomination and Remuneration Committee
- Stakeholders Relationship Committee
- Corporate Social Responsibility Committee
- Risk and Sustainability Committee

Ethics and conduct

Our Code of Conduct sets out expectations on integrity, conflicts of interest, gifts and hospitality, fair competition and protection of company assets. All

employees certify annually that they have read and will follow the Code, and mandatory e-learning covers anti-corruption, insider trading and data privacy.

A vigil mechanism administered by an independent ethics helpline allows employees, contractors and members of the public to raise concerns anonymously. Reports are investigated by a committee that reports to the Audit Committee, and the outcome of every substantiated case is tracked to closure.

Risk management

Our enterprise risk management framework identifies, scores and mitigates risks across strategic, operational, financial, compliance and sustainability categories. Top risks are reviewed by the Board each quarter, and key risk owners present their mitigation plans. Climate, water, community and safety risks feature in the corporate risk register alongside commodity, regulatory and technology risks.

We maintain policies on human rights, anti-bribery, responsible lobbying, tax transparency and data protection. We do not make political contributions. We are members of industry associations including those representing steel producers, mining companies and industrial power users, and we declare our positions on public policy openly.

NOTES

1. Board composition is as at 31 March 2025.
2. Policies are available on the investor relations section of the company website.

SECTION 15

15 Supply chain and customers

Working with partners to raise standards

Our value chain begins in mines and ends in buildings, vehicles and machines. The suppliers that provide coking coal, fluxes, alloys, refractories, consumables and logistics services influence our footprint as much as our own operations do. We therefore expect them to meet standards on safety, labour, environment and ethics, and we support them in doing so.

Responsible sourcing

Our Supplier Code of Conduct, which forms part of every purchase order, covers legal compliance, prohibition of child and forced labour, freedom of

association, health and safety, environmental management and anti-corruption. Critical suppliers undergo a risk screening and, where warranted, an on-site assessment by our procurement and EHS teams.

Raw material sourcing is increasingly shaped by traceability. We require documentation of origin for imported coking coal, and we participate in industry initiatives on responsible steel and mining.

Understanding our indirect emissions is the next frontier of our climate work. Our Scope 3 emissions declined by 15% year on year in FY2025. We are strengthening supplier data collection and refining our calculation methods so that future disclosure rests on a firmer foundation.

SUPPLIER ENGAGEMENT

- Annual supplier meets on safety, quality and sustainability
- Training for contractors on working at height and confined space entry
- Prompt payment commitments for small enterprises
- Preference for local vendors for non-critical goods and services

Customers and product stewardship

Customers increasingly ask for environmental product declarations and information on the carbon content of steel. We are preparing product-level declarations for

key grades and engaging with customers in the automotive and infrastructure segments on low-carbon steel offerings. Quality and safety of our products are governed by national standards and by customer specifications, and our laboratories are accredited to ISO/IEC 17025.

Logistics matters too. Rail takes the largest share of our inbound and outbound freight, and we are investing in rail sidings, conveyors and covered wagons to reduce road dust and congestion around our plants. Our fleet contractors are encouraged to move to cleaner vehicles as supply becomes available.

SECTION 16

16

BRSR Core summary

Selected indicators for FY2023 to FY2025

The table below presents selected indicators from our BRSR Core disclosures for the three most recent financial years. The full set of BRSR Core and other

BRSR indicators is contained in our statutory filing with the stock exchanges for FY2025, which readers should consult for complete information.

BRSR Core summary: selected indicators

Attribute	Indicator	Unit	FY23	FY24	FY25
Economic	Revenue from operations	Rs crore	37,200	39,900	41,500
Environment	GHG emission intensity (Scope 1 + 2 per Rs crore of turnover)	tCO2e / Rs crore	344	312	295
Environment	Waste recovered, recycled or co-processed as a share of waste generated	%	90.0	91.0	92.4
Social	Gross wages paid to females as a percentage of total wages	%	3.8	3.9	4.1

Definitions follow the SEBI BRSR Core framework. Percentages are rounded to one decimal place; intensity is rounded to the nearest whole number.

BRSR Core organises nine ESG attributes: greenhouse gas footprint, water footprint, energy footprint, embracing circularity, enhancing employee wellbeing and safety, enabling gender diversity in the workplace, enabling inclusive development, fairness in engaging with customers and suppliers, and openness of business. Our summary here follows the attributes in which we report comparable multi-year trends.

BASIS OF PREPARATION

- Reporting boundary is as described in the section on this report
- Turnover is revenue from operations in the audited consolidated financial statements
- Wage data covers permanent employees and workers
- Waste recovery covers hazardous and non-hazardous waste

Readers who need additional indicators, including energy, water, safety and emissions by scope, should refer to the statutory BRSR filing, which contains the full set in the prescribed format.

NOTES

1. BRSR Core indicators are defined in SEBI circular SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122.
2. Previous year values are unchanged from the figures reported last year.

SECTION 17

17 Assurance and reporting integrity

How we govern our data

Credible reporting depends on controls over data and on challenge from independent parties. Our reporting process is overseen by the Chief Financial Officer and the Head of Sustainability, with data owners at each facility certifying their submissions each quarter. Data is consolidated on a central platform with validation rules, variance analysis and an audit trail of changes.

Three lines of defence

The first line consists of plant data owners and function heads who are responsible for accuracy. The second line is the corporate sustainability and finance team, which reviews submissions, checks calculations and reconciles to source records. The third line is internal audit, which includes sustainability data controls in its annual plan and reports findings to the Audit Committee.

Independent assurance adds a further layer of confidence. Our BRSR Core disclosures for FY2025 received reasonable assurance from an independent provider. The engagement scope, the standards applied and the basis for the conclusions are documented in the assurance engagement file maintained by the company.

REPORTING INTEGRITY MEASURES

- Quarterly sign-off by facility heads on environmental and safety data
- Reconciliation of energy, fuel and production data to commercial records
- Internal audit of selected indicators each year
- Board Audit Committee review of the sustainability report before publication

We continue to enhance the maturity of our data systems. Planned improvements include automated meter integration, digital permit-to-work and incident

capture, and a workflow tool for supplier data. We also participate in industry peer reviews that compare definitions and methods, with the aim of improving comparability across companies in the sector.

Feedback from stakeholders, including investors and rating agencies, is considered through our reporting improvement log. Observations raised in the year related to data granularity and boundary clarity, and an action plan has been agreed for the coming reporting cycle.

SECTION 18

18

GRI content index

Where to find each disclosure

Statement of use. Vajra Steel & Power Ltd has reported the information cited in this GRI content index for the period 1 April 2024 to 31 March 2025 with reference to the GRI Standards. Where a disclosure is shown as a cross-reference, the information is available in the statutory BRSR filing for FY2025.

GRI content index

Disclosure	Title	Location in this report	Status
2-1	Organizational details	Section 03	Reported
2-2	Entities included in sustainability reporting	Section 01	Reported
2-3	Reporting period, frequency and contact point	Section 01	Reported
2-4	Restatements of information	Section 01	Reported
2-5	External assurance	Section 17	Reported
2-6	Activities, value chain and other business relationships	Section 03	Reported
2-7	Employees	Section 11	Reported
2-8	Workers who are not employees	Section 11	Reported
2-9	Governance structure and composition	Section 14	Reported
2-10	Nomination and selection of the highest governance body	Section 14	Reported
2-11	Chair of the highest governance body	Section 14	Reported
2-12	Role of the highest governance body in overseeing impacts	Section 14	Reported
2-13	Delegation of responsibility for managing impacts	Section 14	Reported
2-14	Role of the highest governance body in sustainability reporting	Section 14	Reported
2-15	Conflicts of interest	Section 14	Reported
2-16	Communication of critical concerns	Section 14	Reported
2-17	Collective knowledge of the highest governance body	Section 14	Reported
2-18	Evaluation of the performance of the highest governance body	Section 14	Reported
2-19	Remuneration policies	Section 14	Reported
2-20	Process to determine remuneration	Section 14	Reported
2-22	Statement on sustainable development strategy	Section 02	Reported
2-23	Policy commitments	Section 14	Reported
2-24	Embedding policy commitments	Section 14	Reported
2-25	Processes to remediate negative impacts	Section 14	Reported
2-26	Mechanisms for seeking advice and raising concerns	Section 14	Reported
2-27	Compliance with laws and regulations	Section 10	Partial
2-28	Membership associations	Section 14	Reported
2-29	Approach to stakeholder engagement	Section 04	Reported
2-30	Collective bargaining agreements	Section 11	Reported
3-1	Process to determine material topics	Section 04	Reported
3-2	List of material topics	Section 04	Reported
3-3	Management of material topics	Section 05	Reported
201-1	Direct economic value generated and distributed	Section 03	Reported
201-2	Financial implications and other risks and opportunities due to climate change	Section 06	Reported
203-1	Infrastructure investments and services supported	Section 13	Reported
203-2	Significant indirect economic impacts	Section 13	Reported
204-1	Proportion of spending on local suppliers	Section 15	Reported
205-1	Operations assessed for risks related to corruption	Section 14	Reported

Disclosure	Title	Location in this report	Status
205-2	Communication and training about anti-corruption policies	Section 14	Reported
205-3	Confirmed incidents of corruption and actions taken	Section 14	Reported
206-1	Legal actions for anti-competitive behaviour	Section 14	Reported
301-1	Materials used by weight or volume	Section 08	Reported
301-2	Recycled input materials used	Section 08	Reported
302-1	Energy consumption within the organization	Refer statutory BRSR filing	Cross-reference
302-3	Energy intensity	Section 06	Reported
302-4	Reduction of energy consumption	Refer statutory BRSR filing	Cross-reference
303-1	Interactions with water as a shared resource	Section 07	Reported
303-2	Management of water discharge-related impacts	Section 07	Reported
303-3	Water withdrawal	Refer statutory BRSR filing	Cross-reference
303-4	Water discharge	Refer statutory BRSR filing	Cross-reference
303-5	Water consumption	Refer statutory BRSR filing	Cross-reference
304-1	Operational sites in or adjacent to protected areas	Section 09	Reported
304-2	Significant impacts of activities on biodiversity	Section 09	Reported
304-3	Habitats protected or restored	Section 09	Reported
304-4	IUCN Red List species in areas affected by operations	Section 09	Reported
305-1	Direct (Scope 1) GHG emissions	Refer statutory BRSR filing	Cross-reference
305-2	Energy indirect (Scope 2) GHG emissions	Refer statutory BRSR filing	Cross-reference
305-3	Other indirect (Scope 3) GHG emissions	Section 15	Partial
305-4	GHG emissions intensity	Section 06	Reported
305-5	Reduction of GHG emissions	Refer statutory BRSR filing	Cross-reference
305-7	Nitrogen oxides, sulfur oxides and other significant air emissions	Section 10	Partial
306-1	Waste generation and significant waste-related impacts	Section 08	Reported
306-2	Management of significant waste-related impacts	Section 08	Reported
306-3	Waste generated	Section 08	Reported
306-4	Waste diverted from disposal	Section 08	Reported
306-5	Waste directed to disposal	Section 08	Reported
308-1	New suppliers screened using environmental criteria	Section 15	Reported
401-1	New employee hires and employee turnover	Section 11	Reported
401-2	Benefits provided to full-time employees	Section 11	Reported
401-3	Parental leave	Section 12	Reported
403-1	Occupational health and safety management system	Section 11	Reported
403-2	Hazard identification, risk assessment and incident investigation	Section 11	Reported
403-3	Occupational health services	Section 11	Reported
403-4	Worker participation, consultation and communication on OHS	Section 11	Reported
403-5	Worker training on occupational health and safety	Section 11	Reported
403-6	Promotion of worker health	Section 11	Reported
403-7	Prevention and mitigation of OHS impacts linked by business relationships	Section 11	Reported
403-8	Workers covered by an OHS management system	Section 11	Reported
403-9	Work-related injuries	Section 11	Partial
403-10	Work-related ill health	Section 11	Partial
404-1	Average hours of training per year per employee	Section 11	Reported
404-2	Programs for upgrading employee skills	Section 11	Reported
405-1	Diversity of governance bodies and employees	Section 12	Reported
405-2	Ratio of basic salary and remuneration of women to men	Section 12	Reported
406-1	Incidents of discrimination and corrective actions taken	Section 12	Reported

Disclosure	Title	Location in this report	Status
407-1	Operations and suppliers at risk for freedom of association	Section 15	Reported
408-1	Operations and suppliers at risk for child labour	Section 15	Reported
409-1	Operations and suppliers at risk for forced labour	Section 15	Reported
413-1	Operations with local community engagement	Section 13	Reported
413-2	Operations with significant negative impacts on local communities	Section 13	Reported
414-1	New suppliers screened using social criteria	Section 15	Reported
415-1	Political contributions	Section 14	Reported
416-1	Assessment of health and safety impacts of product and service categories	Section 03	Reported
417-1	Requirements for product and service information and labelling	Section 03	Reported
418-1	Substantiated complaints concerning breaches of customer privacy	Section 14	Reported

GRI 1: Foundation 2021, GRI 2: General Disclosures 2021 and GRI 3: Material Topics 2021 apply to all rows. Sector-specific standards are not yet available for our sector.

SECTION 19

19

Glossary

*Terms and abbreviations***Beneficiation**

Processing of ore to improve its grade before smelting.

Blast furnace

A furnace in which iron ore is reduced to molten iron using coke and hot air.

BRSR

Business Responsibility and Sustainability Report, the disclosure format prescribed by SEBI for listed entities in India.

BRSR Core

The subset of BRSR indicators, across nine ESG attributes, that is subject to assurance and value chain disclosure.

CPCB

Central Pollution Control Board, the statutory body under the Ministry of Environment, Forest and Climate Change.

CSR

Corporate social responsibility, spending governed by Section 135 of the Companies Act, 2013.

DRI

Direct reduced iron, produced by reducing iron ore in solid state with gas or coal.

ESG

Environmental, social and governance.

ESP

Electrostatic precipitator, a particulate control device.

FY2025

The financial year from 1 April 2024 to 31 March 2025.

GHG

Greenhouse gases, expressed as carbon dioxide equivalent (tCO₂e) using IPCC AR6 warming potentials unless noted.

GRI

Global Reporting Initiative; this report is prepared with reference to the GRI Standards 2021.

Lakh

A unit of 100,000. One crore equals 100 lakh, or 10 million.

LTIFR

Lost Time Injury Frequency Rate, the number of lost-time injuries per million person-hours worked.

MSME

Micro, small and medium enterprise, as classified under the MSMED Act, 2006.

MTPA

Million tonnes per annum.

OCEMS

Online continuous emission monitoring system.

Pellet

Hardened balls of fine iron ore used as blast furnace or DRI feed.

REC

Renewable energy certificate, a tradable instrument representing one megawatt-hour of renewable generation.

Scope 1

Direct GHG emissions from sources owned or controlled by the company.

Scope 2

Indirect GHG emissions from the generation of purchased electricity, steam, heating or cooling.

Scope 3

All other indirect GHG emissions in the value chain, upstream and downstream.

SEBI

Securities and Exchange Board of India.

Sinter

Agglomerated fine ore and fluxes used as blast furnace charge.

Slag

A non-metallic by-product formed during smelting and steelmaking, used in cement and roads.

TCFD

Task Force on Climate-related Financial Disclosures, whose recommendations structure our climate reporting.

tCO₂e

Tonnes of carbon dioxide equivalent.

Value chain

The activities, actors and flows upstream and downstream of a company's own operations.

ZLD

Zero liquid discharge, a design in which treated effluent is fully recovered and reused.

SECTION 20

20 Forward-looking statements

Important notice to readers

This report contains statements about Vajra Steel & Power Ltd's plans, objectives, strategies, expectations and aspirations that are forward-looking in nature. Such statements are not guarantees of future performance. They reflect management's current views and assumptions as of the date of publication and are subject to risks, uncertainties and changes in circumstances that are difficult to predict. Words such as aim, expect, intend, plan, will, target and ambition identify many of these statements.

Actual outcomes may differ materially from those expressed or implied, because of factors that include changes in government policy and regulation, movements in commodity, power and fuel prices, availability of capital and technology, climatic and weather events, project approvals and construction timelines, counterparty performance, litigation, and general economic conditions in India and the markets we serve.

Data in this report has been compiled from internal systems, plant records and third-party sources. Where estimates or methodologies have been used, we have tried to say so in the notes to the relevant tables. Figures may not add up because of rounding. Past performance is not a guide to future results. Nothing in this report constitutes an offer, invitation or recommendation to buy or sell securities, and readers should not rely on it as investment, legal or tax advice.

Vajra Steel & Power Ltd undertakes no obligation to update any forward-looking statement, except as required by applicable law or by the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended. This publication, the company, its facilities, people, events and data are entirely fictional and have been created for an academic demonstration of ESG claim verification.

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CIN L27100OR1998PLC005512 | NSE: VAJRASTL